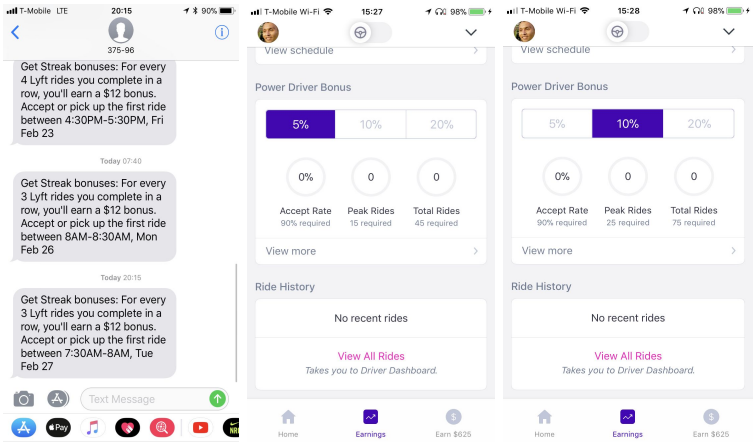
Driver Karma (Acceptance Rate Incentive) Business Requirements

1. Executive Summary

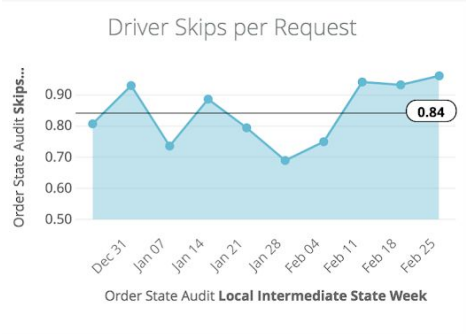
This document serves to argue our case that incentives need to be introduced to drivers to minimize the number of requests they skip/ignore while active on the Fasten platform. When drivers skip requests, it results in a lower User Experience and decreases the likelihood that a rider will receive a ride from us when they need it.

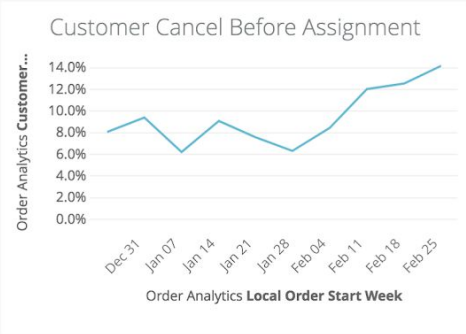
Currently, Lyft incentivizes drivers to maintain a high acceptance rate through both Power Driver bonuses and Streak Bonuses. Given that most drivers operate on more than one platform at a time, a lack of incentives tied to acceptance rate on our platform results in an imbalance of incentives and, likely, an increase in a driver's acceptance rate with Lyft at the expense of his Fasten acceptance rate - the ultimate effect being that riders have a lower User Experience on our platform and end up finding more reliable service on competing platforms.

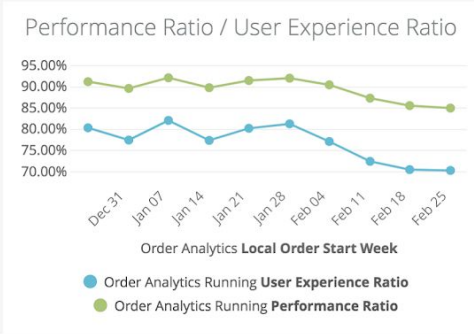


2. Background

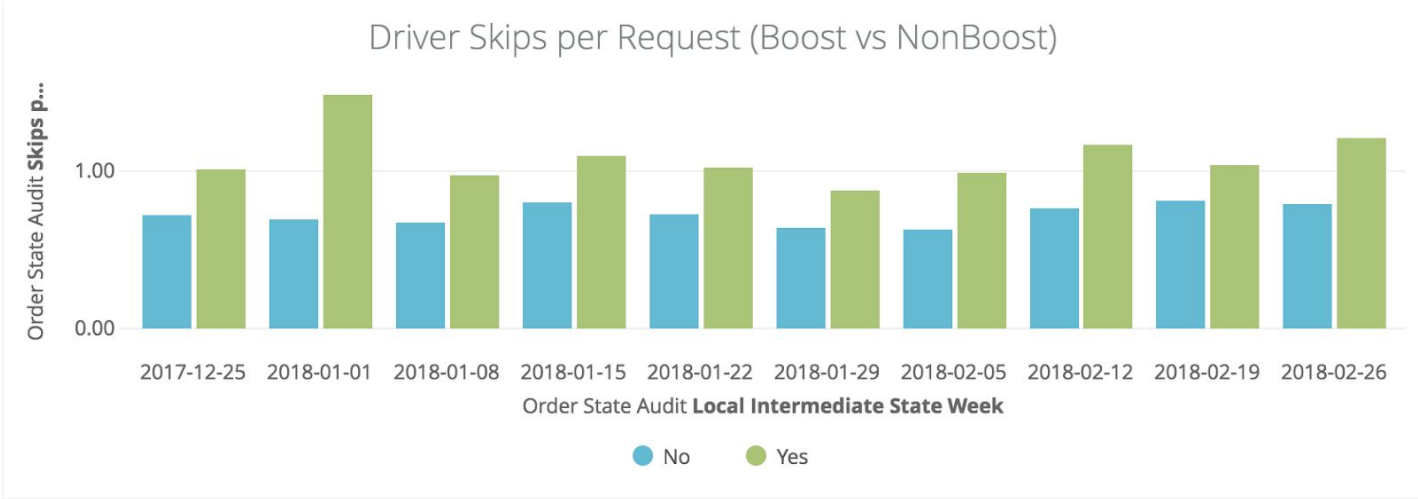
On average over the past 10 weeks in Austin, drivers skip/ignore a request 82% of the time that they see one. The number of skips per request appears to be directly correlated with the proportion of requests that customers cancel before having a driver assigned to them and inversely correlated to our User Experience and Performance Ratios. Intuitively and logically, this makes sense. The more requests that drivers ignore, the less likely that requests result in a completed trip.







Moreover, as we can see from the below chart that compares Skips per Request for Boost (green) and NonBoost trips (blue), drivers are even more likely to be skipping requests when they are Boosted - which is presumably when our riders need them the most.



This is relevant because we lose a large chunk of riders during the time period between when a request is initiated and when it is accepted by the driver. He will grow impatient when it takes too long for a driver to be found and will cancel his request. This assertion is supported by the data in the table below: Trip Count by Status.

‘Customer Cancel Before Assignment Proportion’ accounts for a large percentage of requests. It is clear that the larger this number is, the lower the Performance and User Experience Ratios. This is particularly frustrating because we know our drivers are seeing these requests but not accepting them. So the question is, how do we get our drivers to skip fewer requests?

Trip Count by Status

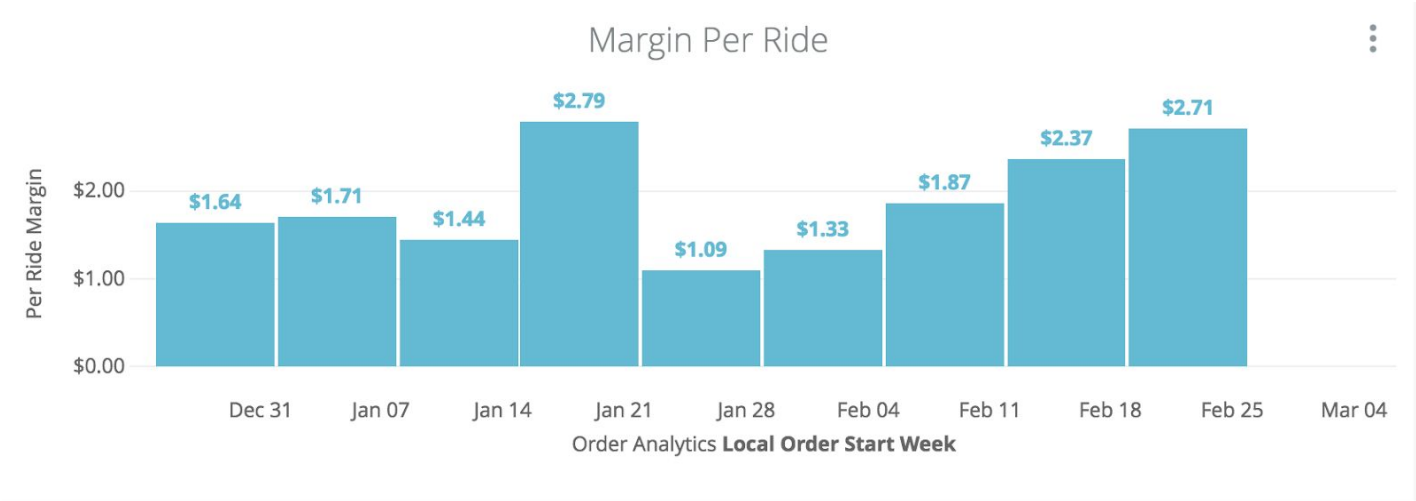
	Order Analytics **Local Order Start Week**	Order Analytics **Count Completed Rides**	Order Analytics **Customer Cancel Before Assignment Proportion**	Order Analytics **Customer Cancel Before Arrive Proportion**	Order Analytics **Count Cancelled Rides**	Order Analytics Running **Performance Ratio**	Order Analytics Running **User Experience Ratio**
1	2018-02-26	821	14.1%	7.7%	152	85.08%	70.35%
2	2018-02-19	7,152	12.6%	8.7%	1,497	85.60%	70.57%
3	2018-02-12	8,150	12.0%	7.7%	1,519	87.39%	72.59%
4	2018-02-05	8,870	8.4%	7.0%	1,441	90.51%	77.27%
5	2018-01-29	9,288	6.3%	6.1%	1,283	92.07%	81.35%
6	2018-01-22	9,250	7.6%	6.2%	1,289	91.58%	80.35%
7	2018-01-15	9,222	9.1%	6.4%	1,400	89.84%	77.48%
8	2018-01-08	8,402	6.2%	5.4%	1,078	92.20%	82.17%

3. Scope

We are targeting Driver Skips per Request as our primary KPI. It has been sufficiently demonstrated in the data above that Driver Skips per Request is tied to Customer Cancel before Assignment Proportion and ultimately to Performance Ratio and User Experience Ratio. By keying in on minimizing Driver Skips, we will be able to significantly influence the percentage of requests that result in completed rides and thereby improve User Experience, increase the number of completed rides, and, ultimately, revenue.

4. Features

The feature we would like to implement for drivers is a bonus oriented toward increasing driver acceptance rate. Using Lyft's Streak Bonus as a model, we would like to reward drivers with $5 for accepting 3 Fasten requests in a row without signing off, cancelling a trip, or skipping any requests in between. When a driver completes this requirement, it will end up costing us $1.67 per ride. Given that our margin per ride in Austin tends to hover around or above this number, particularly after recent updates to static pricing, we will still be able to preserve positive margin while decreasing Driver Skips per Ride and increasing the total number of completed rides by lowering the proportion of rides which customer's cancel before assignment.



5. Functional Requirements
6. Personnel Requirements
7. Reporting and Quality Assurance

We will monitor the effectiveness of this feature by via Driver Skips per Request and Customer Cancel Before Assignment Proportion. Both of these KPI's are expected to decrease after deployment.

8. Delivery Schedule
9. Other Requirements
10. Assumptions
11. Limitations
12. Risks